There was much loose talk about the quality of the steamers, and it was rumoured that the company had been tricked by its earlier owners. (We may recall here that VOC and S. Vedamurthi Mudaliar had fallen out over the quality of the steamers that the latter had negotiated for purchase.) The nationalist papers were hard pressed to dispel this view. 'By the bye, one of our steamers was built three years ago, and the other was pronounced by Keir Hardie to be the finest vessel he had seen,' said *The Hindu*.[37] An amount of Rs 1 lakh or so had to be settled before June, whatever the quality of the steamers.

Soon, we have news of another pressing bill of Rs 35,000 to be paid by 23 June, with a bill for a similar amount due in another month.[38] It is not clear if these were the same bills owed in April referred to above. Since an extension had already been gained for the earlier bill, it was unlikely that the company could manage another reprieve. An embargo on either or both steamers therefore seemed likely once again raising the fond hope of the district superintendent of police that this would signal the end of the company.[39] The CID reported with glee that the company was 'on the point of being wound up', with liabilities far exceeding their assets and the directors taking 'the very doubtful step' of borrowing money on the security of the *Gallia* even though the purchase price had not been paid in full.[40] 'The Directors have sailed very near the wind in borrowing money on the security of a steamer for which they have not yet paid in full.' A reported clause in the agreement that the steamer could be seized for default of even one instalment was also a concern. The directors seemed to entertain the unrealistic idea that if they closed down, the steamers would sell for what had been paid. There was also a hope that BI would buy them out.[41]

In this grave situation, the directors met on 22 June. But no decisions could be made due to lack of a quorum—an indication perhaps that some of the directors had given up. However, the directors present mustered whatever resources they could. About Rs 24,000 was raised including a sum of Rs 5,000 subscribed at the meeting. While Rs 9,000 was set aside for current expenses, the rest went towards a bill due the next day. Whether the